VERITAS BANK EXECUTIVE REPORT: ANALYZING CUSTOMER CHURN & RETENTION PATTERN-A NEED TO ACT FAST

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DATA ANALYSIS JANUARY 2026 CONSULTANTS

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- Dashboard Presentation & Analysis
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INTRODUCTION

Who is Veritas Bank ?

Veritas Bank is a third generation UK-based multinational bank focused on providing premium value optimized by technology and superior customer service to its customers. Serving over ten thousand customers cut across key European countries the bank has been a pioneer in developing retail banking services such as personal loans, digital banking services amongst others to its customers.





What is Customer Churn?

Customer Churn refers to a situation where customers prefer to close their accounts or decide to stop using services provided by a bank.

Why Customer Churn matters in banking

Customer Churn matters in banking especially in retail banking because the cost of acquiring new customers far outweighs the cost of retaining existing customers. It has the potential to portray the bank as an organisation that does not care about its customers.

Objectives of the analysis

The objective of the analysis carried out on the bank is to identify pattern behind customer churn and suggest data-driven solutions that arrest this challenge.

BUSINESS PROBLEM



Increasing Customer Exist

Customer exits have been increasing across certain segments of Veritas Bank's customer base. Though exiting customers poses a less significant threat when considered individually as their bank account balances reveals. However, if such exit is not addressed has the potential to harm the bank in the long term. An increasing churn rate signals dissatisfaction, competitive pressure, or service gaps that require urgent attention.

Declining long-term profitability

If churn continues to rise, Veritas Bank may experience declining customer lifetime value, increased marketing expenditure to replace lost customers, and reduced overall profitability.

Need for data-driven retention strategy

The strategy used by many banks is to try and retain customers when they become dissatisfaction becomes very visible. However, a data-driven retention strategy allows the bank to identify high-risk customers before they exit. By utilizing predictive analytics, machine learning and customer segmentation, Veritas Bank can proactively intervene with personalized offers, improved service engagement, and targeted incentives.

DATA & METHODOLY



Customer Demographics: Age, gender, and geographic location to understand segment-level behavior.

Account Balance: Customer balance levels to assess financial value and commitment to the bank.

Tenure: Length of time with the bank to evaluate loyalty and lifecycle stage.

Product usage: Depth of product usage (e.g., credit cards and other services) to measure relationship strength.

Credit score: Credit score categories to understand financial stability and risk exposure.

Churn status (Exited / Retained): Final outcome used to compare retained customers against those who left.

Veritas Bank

Overview | Churn Status

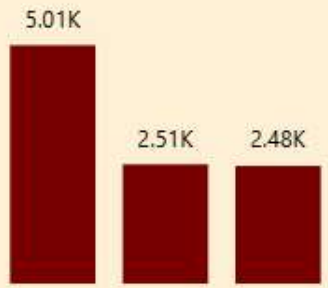
AgeGroup: All

Country: All

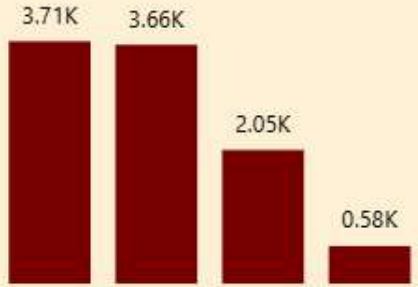
ChurnStatus: All

Total Customers	Total Revenue	Active Members Rate
10K	271.54M	51.51%

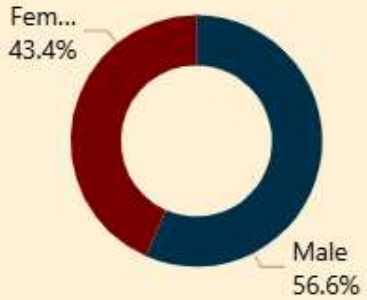
Total Customers by Country



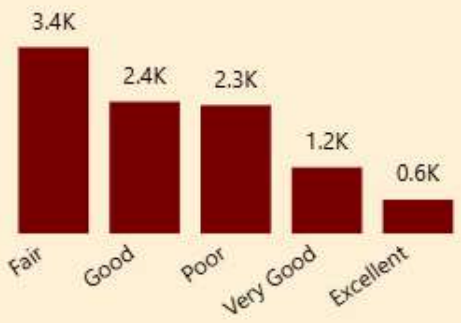
Total Customers by AgeGroup



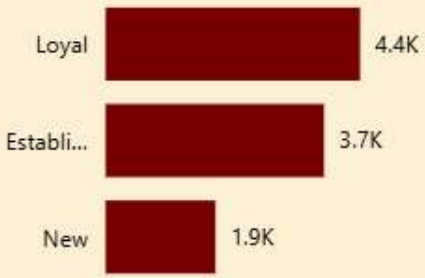
Gender Distribution



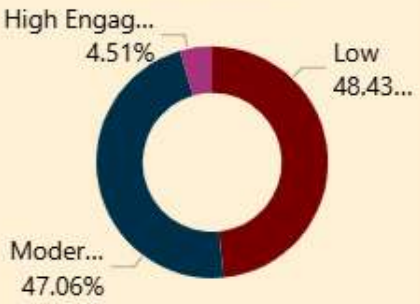
Total Customers by Credit Score



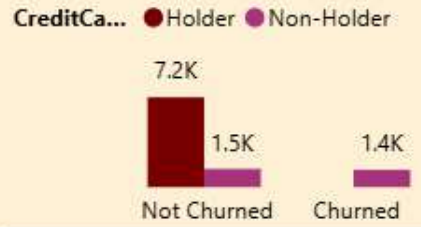
Total Customers by Tenure



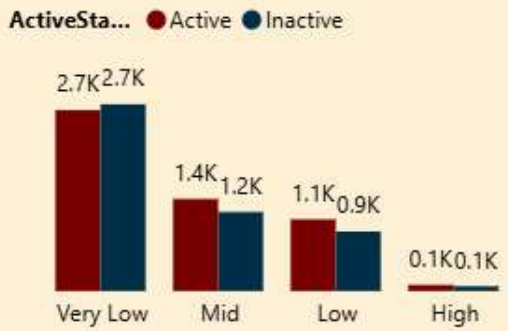
Products/Services Distribution



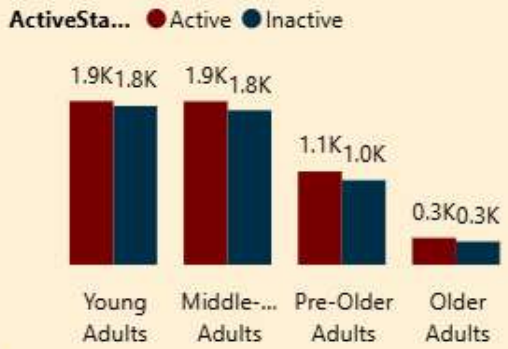
Churn Analysis



Balance Analysis



Age Group Analysis



Churn/ Segment Analysis

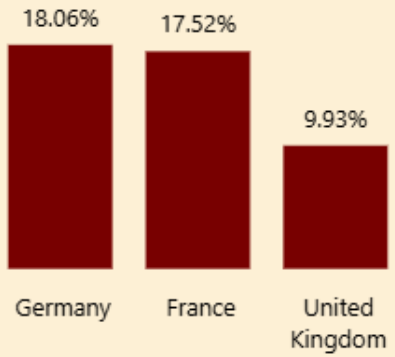
Overview | Churn Status

Total Customers	Churn Rate	Active Members Rate
10K	13.85%	51.51%

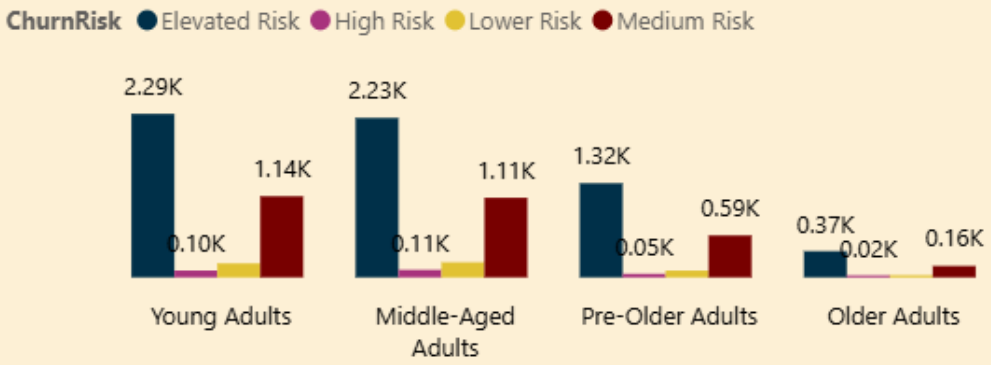
Gender: All

Country: All

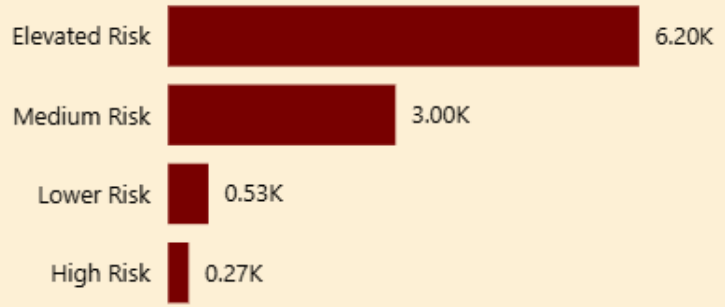
Churn Rate by Country



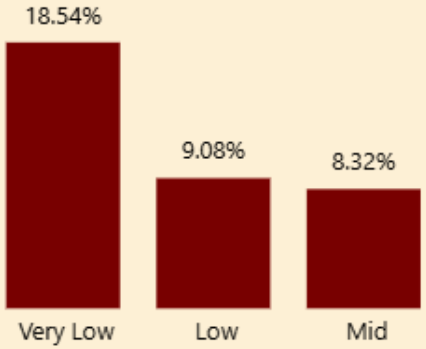
Age Group with the most Risk of Leaving



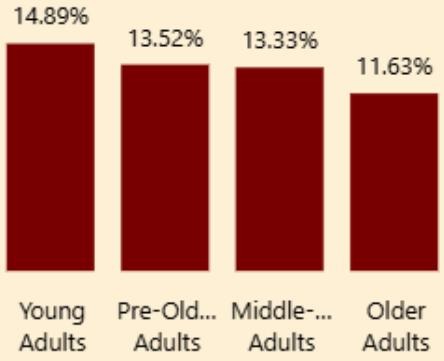
Distribution of Churn Risk



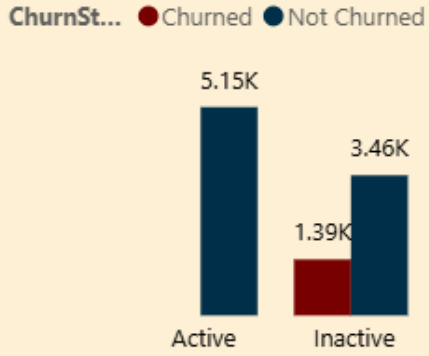
Churn Rate by Balance Category



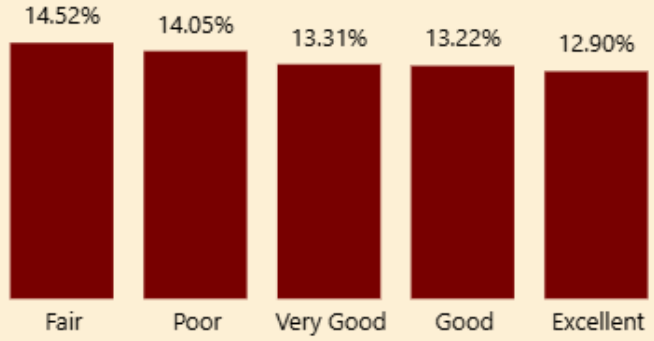
Churn Rate by Age Group



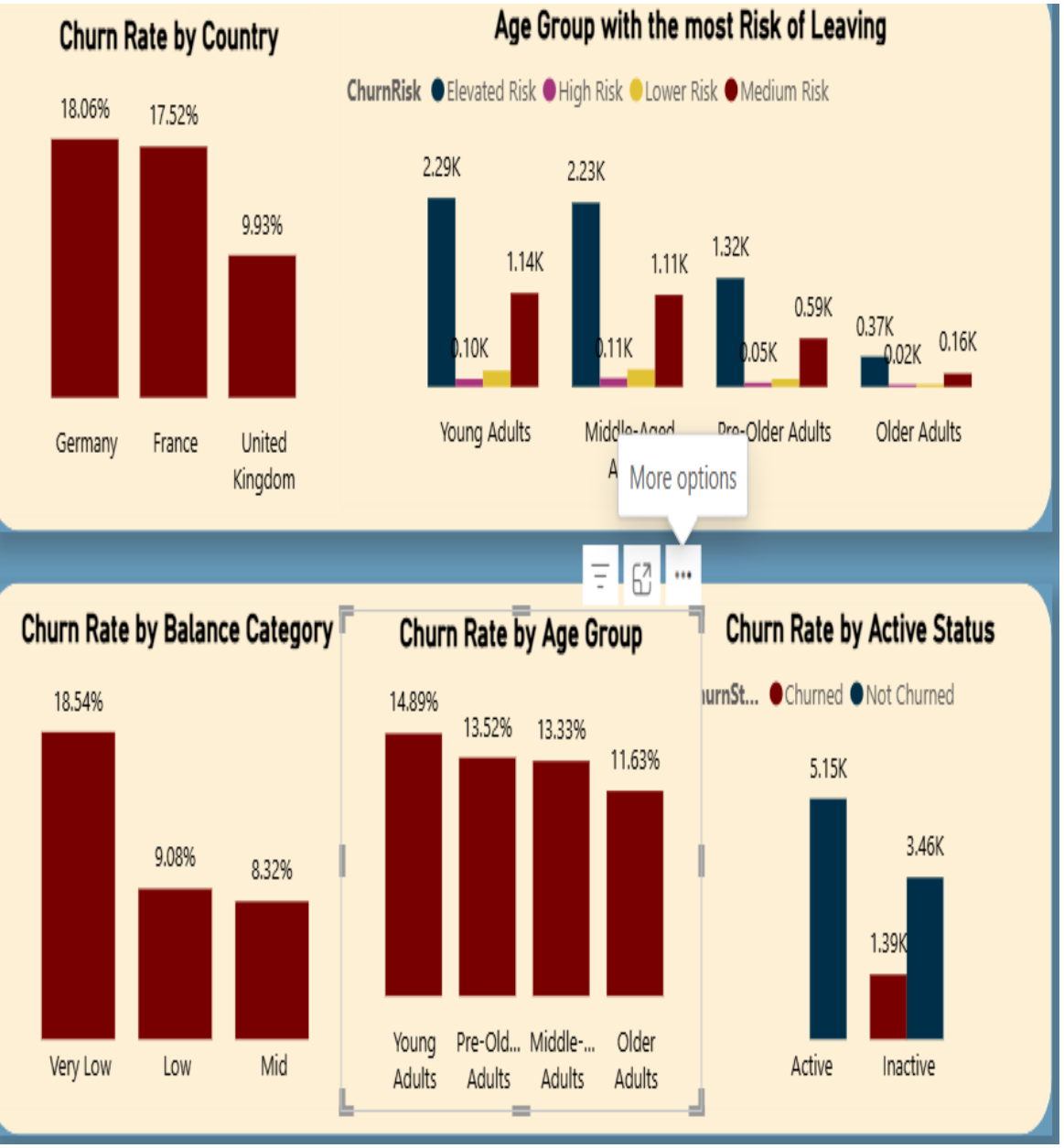
Churn Rate by Active Status



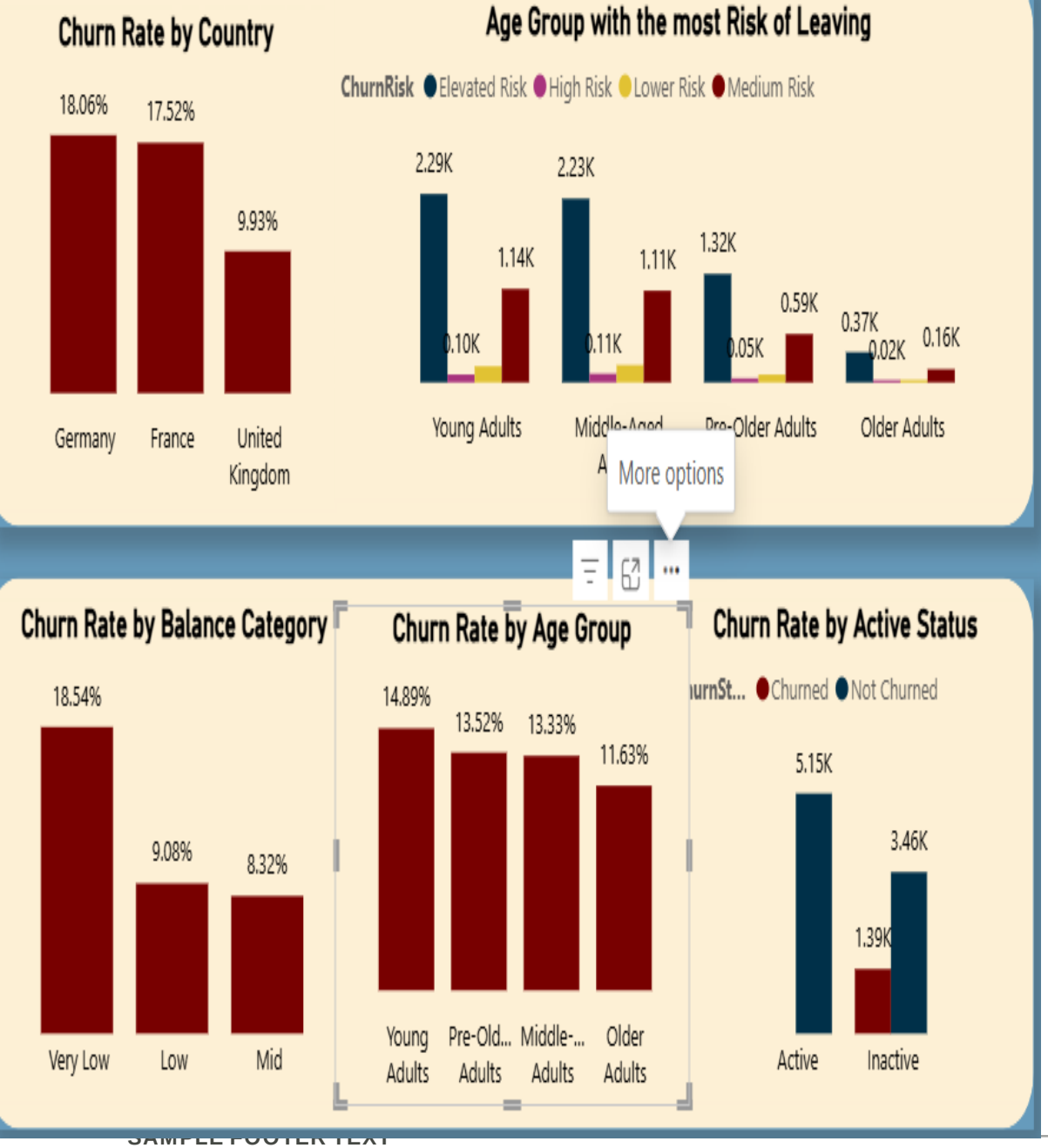
Age Group Analysis



KEY INSIGHT-AGE & CHURN



- Male constitute 56.6% of the gender makeup with women and young girls taking up 43.4%. This shows that gender makeup is slightly skewed to the male gender.
- However, Middle-aged customers show relatively higher churn levels.
- Younger customers demonstrate stronger retention stability. This is shown from the dashboard as young adults customers make up more than 50% of the demographic setup.
- Age-related financial needs may influence switching behaviour.



INSIGHT: BALANCE & CHURN

High-balance customers exhibit notable churn risk

- A significant proportion of customers hold very low balances, while high-balance customers are limited.
- The customer base is heavily weighted toward low-value accounts, indicating opportunity to grow balances and deepen financial relationships.

Financial value does not guarantee loyalty

- Although high-balance customers contribute significant deposits, balance size alone does not ensure loyalty.
- Customers may hold large funds but still switch banks if they perceive better value elsewhere.

Dissatisfaction may exist despite strong deposits

- Strong deposits may mask underlying dissatisfaction.
- If service quality or product offerings do not meet expectations, even high-value customers may choose to lea

INSIGHT: TENURE & LOYALTY



Tenure & Loyalty

- A large proportion of customers are in the early stages of their relationship.
- New customers are more vulnerable to early exit.
- Retention improves with longer relationship duration.
- Early engagement is critical.
- Early-life customers represent a significant share of the base, increasing exposure to early churn. Strengthening onboarding and first-year engagement could materially reduce attrition.
- **Customers in the early stages of their relationship are more likely to churn, highlighting weaknesses in onboarding or early engagement. As tenure increases, stability improves, reinforcing the importance of strengthening the first-year experience.**



BUSINESS IMPACT

- Direct revenue and deposit loss
- Increased cost of acquiring replacements
- Lower long-term customer lifetime value
- Reduced cross-selling potential
- **Churn impacts the bank financially in multiple ways — not just through immediate deposit loss, but through reduced lifetime value and higher marketing costs required to replace exited customers.**



RECOMMENDATION

- Introduce loyalty incentives for high-balance customers
- Strengthen onboarding and early-life engagement programs
- Deploy personalized product offers based on behaviour
- Implement predictive churn modelling for early intervention
- **These recommendations focus on both prevention and strategic growth — protecting high-value segments while strengthening engagement among vulnerable customers.**

CONCLUSION

Data-driven retention is a strategic necessity

Data driven retention is a proactive strategic tool to reduce churn and improve customer satisfaction.

High-risk segments have been clearly identified

High risk segments have been identified and management should devote resources to develop products to meet and exceed their expectations.

Targeted interventions can significantly reduce churn

The analysis demonstrates that churn is not random. By focusing on identified risk segments and implementing proactive strategies, Veritas Bank can materially improve retention and protect long-term profitability.